

Fintech Platform for Fractional Real Estate Investment

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PROJECT PROPOSAL: FINTECH PLATFORM FOR FRACTIONAL REAL ESTATE INVESTMENT

1. PROJECT OVERVIEW

We aim to build a secure, compliant crowdfunding fintech platform allowing retail investors to buy fractional shares in commercial real estate properties. The platform must handle secure investor onboarding (KYC/AML), bank account linking, ACH transactions, asset share registry, legal e-signatures, and investor payout distributions.

2. TARGET USERS

- Retail Investors: Web-based portal to browse property offerings, read financial disclosures, execute investments, and track dividends.
- Platform Administrators: Dashboard to list new properties, verify investments, manage escrow funds, initiate payout distributions, and issue tax documents (Form 1099/K-1).

3. CORE FEATURES & FUNCTIONAL REQUIREMENTS

- Interactive Offerings Showcase: Grid display of open investment offerings with property images, financial metrics (cap rate, cash-on-cash yield, IRR), and download center for offering circulars.
- KYC & AML Compliance Integration: Integrated third-party onboarding flow (using Persona or Plaid Identity) to verify identity, screen against watchlists, and perform accredited investor checks.
- Bank Account Linking & ACH Processing: Safe connection of bank accounts via Plaid to execute ACH deposits and distributions through Dwolla or Stripe Treasury.
- Fractional Share Registry: A secure ledger system matching property entities to fractional units. Each transaction must record ownership shares, cost basis, and purchase dates with zero rounding discrepancies.
- Digital Document Execution: In-app signing of subscription agreements, operating agreements, and tax disclosures via DocuSign or HelloSign API.
- Investor Wallet & Portfolio Dashboard: Real-time calculation of portfolio asset value, accumulated dividends, monthly distributions, and interactive Recharts graphs tracking earnings over time.
- Automated Dividend Payouts: Admin-triggered smart scheduling logic that calculates payouts proportionally to shareholder units and schedules mass bank transfers.
- Security & Audit Logs: Strict database logging of all financial transactions, login sessions, and permission adjustments to meet financial regulatory compliance standards.

4. TECHNICAL SPECIFICATIONS & STACK PREFERENCES

- Frontend (Web): Next.js (App Router), React, Tailwind CSS, TypeScript, and Recharts.
- Backend: Node.js (NestJS framework preferred for dependency injection and modularity) or C# .NET Core for secure transactions.
- Database: PostgreSQL (using transactions with strict SERIALIZABLE isolation levels) and Redis (for queueing ACH batch transactions).
- API Security: OAuth2/OIDC, JSON Web Tokens (JWT) with secure HTTP-only cookies, and encrypted payload signatures.
- External Integrations: Plaid (bank authentication), Dwolla (ACH API), Persona (KYC/AML), and DocuSign (e-signatures).

5. ESTIMATION, BUDGET, AND TIMELINE

- Estimated Timeline: We estimate 5 to 7 months of engineering effort, incorporating rigorous QA testing and compliance checks.
- Budget Range: \$90,000 – \$130,000 USD.
- Key Milestones:

- Phase 1: UX Design & Financial Planning (Weeks 1-6) - Custom dashboard wireframes, transactional database structure, and integration workflows.
- Phase 2: KYC & Bank Integration (Weeks 7-12) - Persona onboarding, Plaid connection, bank statement parsing, and secure user vault.
- Phase 3: ACH Engine & Share Ledger (Weeks 13-18) - Double-entry ledger implementation, Dwolla batch transfer scripting, and dividend calculation algorithms.
- Phase 4: E-Sign & Doc Distribution (Weeks 19-22) - DocuSign webhook sync, PDF prospectus generator, and Form K-1 automated distribution module.
- Phase 5: Audit, QA & Soft Launch (Weeks 23-28) - Independent security audits, penetration testing, mock transaction runs, and AWS production deployment.